

and will separately re-issue and serve the OSC on Plaintiff and all parties.

10. 9:00 AM CASE NUMBER: C25-03801

CASE NAME: LUKE KEARNEY VS. SELENE FINANCE LP

HEARING ON DEMURRER TO: COMPLAINT

FILED BY: SELENE FINANCE LP

TENTATIVE RULING:

The hearing on Defendant Selene Finance LP's Demurrer to the Complaint is dropped as moot. Plaintiffs filed a First Amended Complaint on April 27, 2026.

11. 9:00 AM CASE NUMBER: C26-00262

CASE NAME: NIDAH NASRALLA VS. MERCEDES BENZ USA, LLC,

***MOTION/PETITION TO COMPEL ARBITRATION**

FILED BY: MERCEDES BENZ USA, LLC,

TENTATIVE RULING:

Defendant, Mercedes-Benz USA, LLC ("defendant" or "Mercedes"), moves the Court under both the California Arbitration Act and the Federal Arbitration Act to compel plaintiff to arbitrate the claims set forth in plaintiff's complaint, and to stay this action pending the outcome of arbitration.

The motion is **granted**. Parties shall submit the matter to arbitration. This proceeding is hereby stayed. **The Court maintains the case management conference on November 2, 2026, at 8:30 a.m.** for a status update on arbitration. All parties are ordered to file an updated Case Management Conference statement 15 days in advance of the conference reporting on the status of the arbitration. (The parties may choose to file a joint statement in this regard.)

Background

Plaintiff Nidah Mohamed Nasralla brought suit on January 23, 2026, alleging that on or about July 31, 2023, plaintiff leased a 2023 Mercedes-Benz C3 and the vehicle had electrical system defects. (See Complaint, ¶¶6, 9, 12.) The complaint asserts four causes of action under the Song-Beverly Act: (1) breach of Civil Code § 1793.2(d); (2) breach of Civil Code § 1793.2(b); (3) breach of Civil Code § 1793.2(a)(3); and (4) breach of the implied warranty of merchantability.

In response to the complaint, defendant filed this motion to compel arbitration based on provisions found in the Motor Vehicle Lease Agreement plaintiff signed with Mercedes Benz of Walnut Creek, the dealer from which plaintiff leased the vehicle. In support of its motion, defendant provides a declaration from counsel that attaches plaintiff's complaint as well as a signed copy of the lease agreement.

The arbitration agreement contained in the lease agreement states, under "Important

Arbitration Disclosures:"

Any claim or dispute, whether in contract, tort or otherwise (including any dispute over the interpretation, scope, or validity of this lease, arbitration section or the arbitrability of any issue), between you and us or any of our employees, agents, successors, assigns, or the vehicle distributor, including Mercedes-Benz USA LLC (each a "Third-Party Beneficiary"), which arises out of [...] this lease, or any resulting transaction or relationship arising out of this lease (including any such relationship with third parties who do not sign this contract) shall, at the election of either you, us, or a Third-Party Beneficiary, be resolved by a neutral, binding arbitration and not by a court action.

[...]

This lease evidences a transaction involving interstate commerce. Any arbitration under this lease shall be governed by the Federal Arbitration Act (9 USC 1, *et seq.*). Judgment upon the award rendered may be entered in any court having jurisdiction.

Defendant contends the agreement is valid and should be enforced, and that it may enforce the agreement as a third-party beneficiary.

Plaintiff opposes the motion, arguing the scope of the clause does not include her claims. She cites *Ford Motor Warranty Cases* (2025) 17 Cal.5th 1122 ("*Ford*") and *Fuentes v. Empire Nissan, Inc.* (2026) 19 Cal.5th 93 ("*Fuentes*"). Plaintiff takes the position that *Ford* stands for the principle that claims such as hers do not arise from the lease, but rather "a consumer protection statute about separate warranties." Plaintiff contends *Fuentes* "requires that any ambiguity about scope" to be resolved in favor of plaintiff based on the adhesive nature of the contract. In support of the opposition, plaintiff provides her own declaration which states that the arbitration provision was prepared without plaintiff's input, and presented to her on a take-it-or-leave-it basis. She claims not to have understood it, and would not assume that it required arbitration.

Standard

"Under both federal and state law, the threshold question presented by a petition to compel arbitration is whether there is an agreement to arbitrate." (*Herzog v. Superior Court* (2024) 101 Cal.App.5th 1280, 1293-1294; see also *Toal v. Tardif* (2009) 178 Cal.App.4th 1208, 1219-1220.) California law determines the answer to this threshold question. (*Ibid.*) Mutual assent, or consent, of the parties is essential to the existence of a contract, and consent is not mutual, unless the parties all agree upon the same thing in the same sense. (*Ibid.*, see also Civ. Code, §§ 1550, 1580, 1565.) "Mutual assent is determined under an objective standard applied to the outward manifestations or expressions of the parties, i.e., the reasonable meaning of their words and acts, and not their unexpressed intentions or understandings. (*Ibid.*; see also *Esparza v. Sand & Sea, Inc.* (2016) 2 Cal.App.5th 781, 788.) The party seeking arbitration bears the burden of proving the existence of an arbitration agreement. (*Pinnacle*

Museum Tower Assn. v. Pinnacle Market Development (US), LLC, (2012) 55 Cal.4th 223, 236.)

A written agreement to submit to arbitration an existing controversy or a controversy thereafter arising is valid, enforceable and irrevocable, save upon such grounds as exist for the revocation of any contract. (Code Civ. Proc., § 1281.)

Analysis

A. An Agreement to Arbitrate Exists Because Defendant is a Named Third-Party Beneficiary

Defendant, which bears the burden on the question of an agreement, provides a written agreement purportedly signed by plaintiff with its moving papers. (Declaration of Macy M. Chan in Support of Motion, Ex. 1.) Plaintiff does not deny having signed the contract.

The agreement is between plaintiff on the one hand, and “Mercedes Benz of Walnut Creek,” on the other. Still, the terms of the arbitration clause itself name defendant as a third-party beneficiary.

Both parties discuss, and plaintiff’s opposition heavily relies on, *Ford Motor Warranty Cases* (2023) 17 Cal. 5th 1122. In *Ford Motor Warranty Cases*, the arbitration clause at issue was strikingly similar to the one here. It required arbitration of “[a]ny claim or dispute, whether in contract, tort, statute or otherwise (including the interpretation and scope of this Arbitration Provision, and the arbitrability of the claims or dispute), between you and us or our employees, agents, successors or assigns, which arises out of or relates to [...] this contract or any resulting transaction or relationship (including any such relationship with third parties who did not sign this contract).” (*Id.* at 1127.)

The difference is the arbitration agreement in *Ford Motor Warranty Cases* did not expressly include disputes with the *manufacturer*. Notably, the court of appeal decision that was affirmed by the California Supreme Court had stated, “[i]f the signatories had intended to benefit [Ford Motor Company], such a purpose would have been easy to articulate. They could have simply named [Ford Motor Company]—directly or by class as the vehicle’s manufacturer—as a person entitled to compel arbitration. But they did not.” (*Ford Motor Warranty Cases* (2023) 89 Cal.App.5th 1324, 1339.)

The Supreme Court affirmed the decision by the Second Appellate District and noted, “Ford, the manufacturer, was not a party to, or named in, the sales contracts.” (*Ford Motor Warranty Cases, supra*, 17 Cal. 5th at 1126.) The Court pointed out that the sales contract did have any language binding the purchaser to arbitrate with the “universe of unnamed third parties.” (*Id.* at 1130.)

Here, the arbitration agreement expressly names Mercedes Benz USA, LLC as a third-party beneficiary which remedies any worries of a broad inclusion of a “universe of unnamed third parties,” posed by the California Supreme Court. (*Id.* at 1130; see also Declaration of Macy M. Chan in Support of Motion, Ex. 1, pp. 4-5.)

B. Scope of Clause

Plaintiff argues that the scope of the claims covered by the arbitration clause does not cover the claims *here*, which arise “from a consumer protection statute about separate warranties.” (See Memorandum of Points and Authorities in Support of Opposition, 1:9, 6:1-7:20.)

Plaintiff’s argument is based on language in *Ford Motor Warranty Cases* which refers to the dispute there “flowing, not from the contract where the arbitration clause appears, but from obligations imposed by statute or conventional fraud duties.” (*Ford Motor Warranty Cases, supra*, 17 Cal.5th at 1126.) The discussion was related to rejection of an estoppel theory where a manufacturer was not explicitly named in the contract that contained an arbitration clause. This case is distinguishable, as noted above and set forth in the moving papers. (See Memorandum of Points and Authorities in Support of Motion, 5:23-6:10.) Plaintiff attempts to minimize the context of the holding (“[w]hile nominally about equitable estoppel”), but context is important here. By suggesting that there are certain types of claims that would *categorically* not be subject to arbitration, plaintiff raises preemption questions. Since federal law allows for no such exceptions and the agreement in this case is expressly governed by the FAA, the suggestion is not well-taken.

In general, whether a contractual arbitration clause covers a particular dispute depends on whether the clause in question is “broad” or “narrow.” (*Ahern v. Asset Management Consultants, Inc.* (2022) 74 Cal.App.5th 675, 689; *Rice v. Downs* (2016) 248 Cal.App.4th 175, 185-187.) A broad clause includes language that requires arbitration of “any claim arising from or related to” the agreement, while a narrow clause typically includes language that requires arbitration of “a claim, dispute, or controversy” that “arises from” or “out of” an agreement.” (*Ahern, supra*, 74 Cal.App.5th at 689-690; see also *Rice, supra*, 248 Cal.App.4th at 185-187.) Narrow clauses are interpreted to be more limited in scope and generally exclude language such as “relating to this agreement” or “in connection with this agreement.” (*Ibid.*)

The clause here is broad. Though lengthy, it covers “[a]ny claim or dispute, whether in contract, tort or otherwise [...] between you and [...] Mercedes-Benz USA LLC [...], which arises out of or relates to [...] this lease [...].” This scope includes claims against Mercedes, which would relate to the lease even if they do not arise from it. Plaintiff does little to explain why this scope description is ambiguous and the Court does not view it as so ambiguous as to exclude the claims in this case.

Notably, plaintiff makes several references to the adhesive nature of the contract here, but she makes no effort to argue that the contract was also substantively unconscionable. Accordingly, she has failed to sufficiently raise an unconscionability defense, which requires both.

Because the Court concludes defendant meets its burden to show an arbitration agreement exists, that the scope of the agreement covers “any claim or dispute [...] between [plaintiff] and [...] Mercedes-Benz USA LLC,” and because plaintiff fails to rebut this showing

or raise a valid defense, the Court must grant the motion.

12. 9:00 AM CASE NUMBER: MSC15-01952

CASE NAME: MCGUIRE VS BRENKLE

***HEARING ON MOTION IN RE: FOR ORDER AWARDING ATTORNEY'S FEES (CONT'D PER TR ON 4/10/26)**

FILED BY: MCGUIRE, FRANK J

TENTATIVE RULING:

The motion of Plaintiffs Frank J. McGuire and Bethanie A. McGuire for an Order Awarding Attorney's Fees is granted. The court finds that the Plaintiffs are seeking attorney's fees for the Contempt Ruling of the trial court, which found the Defendants violated the Permanent Injunction by failing to reconnect a water line supplying water to the Plaintiff's property. Anderson Decl., Exs. 4, 8.

The Court finds that the fees and costs are reasonable and necessary. The fees incurred in the Court of Appeal are recoverable, as they were incurred in connection with the contempt proceeding. The Court finds that the instant motion relates back to the original motion because the parties agreed that the hearing on the motion should be continued to allow the Court of Appeal to hear the Defendants' appeal, and that the parties agreed that if the contempt was upheld, that the Plaintiffs would be allowed to amend their papers to see their fees on appeal. Decl. of Anderson in Support of Reply, Ex 31, Ex 32. The hearing on the initial attorneys' fees motion was postponed and the parties' settlement efforts failed, and the Plaintiffs filed the instant motion.

The Court finds good cause, in the alternative, to extend time for the Plaintiffs for filing a motion for attorney's fees, per Cal. Rule of Court 3.1702(d). The court finds the Plaintiffs have acted in good faith, have attempted to resolve the matter on numerous occasions, and allowed the matter to be put on the backburner while the Defendants pursued their ultimately unsuccessful appeal.

The Court finds the Defendants have not been prejudiced by having this motion heard.

The Court orders the Defendants Thomas R. Brenkle and Natalie A. Brenkle to pay the Plaintiffs Frank J. McGuire and Bethanie A. McGuire the sum of \$60,776.35 within 10 court days of service of notice of entry of this order.

13. 9:00 AM CASE NUMBER: MSC21-01379

CASE NAME: MOFFETT VS. SONIC WALNUT CREEK

HEARING ON SUMMARY MOTION

FILED BY: MERCEDES-BENZ USA,LLC

TENTATIVE RULING:

The Court continues this motion to **October 2, 2026 at 9:00 a.m.** in this Department.